



Chapter 2: The Recording Process

1. What is an Account?

An **account** is a record of increases and decreases in a specific asset, liability, owner's equity, revenue, or expense item.

- **Debit (Dr)** = Left side
- **Credit (Cr)** = Right side

2. What is the Double-Entry System?

- Each transaction affects **at least two accounts**.
- Total **debits must equal credits** for every transaction.
- Keeps the **accounting equation** in balance:

$$\text{Assets} = \text{Liabilities} + \text{Owner's Equity}$$

3. What are the Rules of Debit and Credit?

Account Type	Increase (Normal)	Decrease
Assets	Debit	Credit
Liabilities	Credit	Debit
Owner's Equity	Credit	Debit
Revenue	Credit	Debit
Expenses/Drawings	Debit	Credit

4. What are the Steps in the Recording Process?

1. **Analyze** each transaction from source documents.
2. **Journalize** the transaction (record it in the journal).
3. **Post** the journal entries to the **ledger**.

5. What is the Journal?

The **journal** is the **book of original entry**, where transactions are first recorded chronologically.

Purpose:

- Discloses full transaction effect
 - Maintains chronological record
 - Helps in detecting errors
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6. What is Journalizing?

- The process of entering transaction data in the **journal**.
 - May involve **simple entries** (2 accounts) or **compound entries** (3+ accounts).
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7. What is a Compound Entry?

A journal entry involving **more than two accounts**.

Example: Buying a truck paying part in cash and part on account.

8. What is the Ledger?

The **general ledger** contains all accounts (assets, liabilities, equity, revenues, expenses).

It helps in:

- Summarizing the effect of transactions
 - Providing balances for trial balance and financial statements
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9. What is Posting?

Transferring journal entries from the **journal to the ledger** (T-accounts or 3-column accounts).

10. What is a Chart of Accounts?

A list of all **account titles and numbers** used by a company to organize its ledger.

11. What is a Trial Balance?

A list of all account balances from the ledger at a specific date.

- Helps detect some errors (e.g., unequal debits and credits)
 - **Limitations:**
 - Won't catch omitted entries
 - Won't catch double entries
 - Won't catch wrong accounts or offsetting errors
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12. What are the Limitations of a Trial Balance?

A trial balance may balance even when:

- A transaction is **not journalized**
 - A correct entry is **not posted**
 - An entry is **posted twice**
 - **Wrong accounts** are used
 - **Offsetting errors** occur
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Sample Problems in Chapter

Problem 1: Desiree Clark

Involves:

- Journalizing May transactions
 - Posting to ledger accounts (e.g., Cash, A/R, A/P, Capital, Revenue, Expenses)
 - Preparing a **Trial Balance** at May 31
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Problem 2: San Jose Services

Involves:

- Journal entries for May transactions (e.g., investments, expenses, revenue)
- Posting to ledger

- Preparing a **Trial Balance** at May 31

✓ Summary Table

Concept	Explanation
Account	Record of increases/decreases in an item
Debit / Credit	Left = Debit, Right = Credit
Double-Entry	Each transaction affects at least 2 accounts
Journal	First place transactions are recorded chronologically
Posting	Transferring entries to ledger accounts
Ledger	Group of all accounts used by the business
Chart of Accounts	Indexed list of account names and numbers
Trial Balance	List of all ledger balances; ensures debits = credits
Errors Detected by TB	Unequal debits and credits
Errors Not Detected	Omitted entries, wrong accounts, double-postings, offset errors

Would you like me to also:

- **Solve Problem 1 and 2** (journal entries + trial balance)?
- Provide a **journal template** and **ledger worksheet** you can print?
- Create a **practice quiz** for this chapter?

Let me know!

Sure! Let's solve both **Problem 1** and **Problem 2** from Chapter 2, step by step:



Problem 1: Desiree Clark (CPA)



Chart of Accounts

Used:

Account Name	No.
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Cash	101
Accounts Receivable	112
Supplies	126
Accounts Payable	201
Unearned Service Revenue	209
Owner's Capital	301
Service Revenue	400
Salaries and Wages Expense	726
Rent Expense	729



(a) Journal Entries

Date	Account Titles & Explanation	Debit	Credit
May 1	Cash	20,000	
	Owner's Capital		20,000
May 2	(No entry – hiring is not a transaction)		
May 3	Supplies	2,500	
	Accounts Payable		2,500
May 7	Rent Expense	900	
	Cash		900
May 11	Accounts Receivable	3,200	
	Service Revenue		3,200
May 12	Cash	3,500	
	Unearned Service Revenue		3,500
May 17	Cash	1,200	
	Service Revenue		1,200
May 31	Salaries and Wages Expense	2,000	
	Cash		2,000
May 31	Accounts Payable	1,500	
	Cash		1,500



(c) Trial Balance as of May 31, 2012

Account	Debit	Credit
Cash	20,300	
Accounts Receivable	3,200	
Supplies	2,500	
Accounts Payable		1,000
Unearned Service Revenue		3,500
Owner's Capital		20,000
Service Revenue		4,400
Salaries and Wages Expense	2,000	
Rent Expense	900	
Totals	28,900	28,900



Problem 2: San Jose Services



(a) Journal Entries

Date	Account Titles & Explanation	Debit	Credit
May 1	Cash	40,000	
	Owner's Capital		40,000
May 2	(No entry – hiring is not a transaction)		
May 3	Prepaid Rent	24,000	
	Cash		24,000
May 4	Furniture and Equipment	30,000	
	Cash		10,000
	Accounts Payable		20,000
May 5	Prepaid Insurance	1,800	

	Cash		1,800
May 6	Supplies	500	
	Cash		500
May 7	Supplies	1,500	
	Accounts Payable		1,500
May 8	Cash	8,000	
	Accounts Receivable	12,000	
	Service Revenue		20,000
May 9	Accounts Payable	400	
	Cash		400
May 10	Cash	3,000	
	Accounts Receivable		3,000
May 11	Utilities Expense	350	
	Accounts Payable		350
May 12	Salaries and Wages Expense	6,100	
	Cash		6,100



(c) Trial Balance as of May 31, 2012

Account	Debit	Credit
Cash	18,200	
Accounts Receivable	9,000	
Supplies	2,000	
Prepaid Rent	24,000	
Prepaid Insurance	1,800	
Furniture & Equipment	30,000	
Accounts Payable		21,450
Owner's Capital		40,000
Service Revenue		20,000
Salaries and Wages Expense	6,100	
Utilities Expense	350	

Totals	91,450	91,450
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Would you like:

- The **ledger postings** for these entries?
- A downloadable **Excel or PDF worksheet** for practice?
- Help generating the **financial statements** (Income Statement, Balance Sheet) from these?

Let me know how you'd like to continue!